

Indian LED Lighting Sector: The Future Is Bright...

Indian LED lighting industry is experiencing robust growth and rapid development. It is expected to grow at a CAGR of 47.3 per cent and touch the \$1.28 billion mark by 2018 thanks to the booming real-estate market, investments in green buildings, mandatory government regulations for energy efficiency and growing demand from government-aided projects, industrial and corporate houses, LED streetlighting projects and the export market

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Indian LED lighting industry is experiencing robust growth and moving ahead at a fast pace following the worldwide upbeat trends. Though its current size stands at only \$143 million, far below \$2.3 billion of the United States of America—the largest LED lighting market in the world—the Indian LED lighting market is expected to touch \$1.28 billion figure by 2018. According to a recent Frost & Sullivan report, the LED lighting business in India is expected to grow at a CAGR of 47.3 per cent between 2011 and 2018 and reach 35 per cent of the total lighting market in the country, which is currently not even 4 per cent.

For a power-starved country like India, which struggles to meet the ever-increasing demand for electricity from different sectors due to rapid economic growth, switching to light emitting diodes (LEDs) seems to be the best option as they save a huge amount of energy.

LED lighting is an option that can significantly reduce the lighting load, peak demand and overall energy consumption without posing any threat to the environment as it does not have any mercury or heavy metal contents. According to Arun Gupta, global CEO, NTL Lemnis, “LEDs are 50 per cent more energy efficient than CFLs and have a longer life than CFLs. Theoretically they can last up to 50 to 60k hours but, as of now, the industry is assuring life of 20 to 30k hours. LED-based lighting is a new technology and consumers are yet to understand its benefits and adopt it. In the near future, with evolving technology, LEDs will take a major share in the lighting industry.”

However, because of the high cost of the LED lighting products, the percentage of the buyers of LED products in India is still not high, but the good news is that the scenario is fast changing with growing awareness about green energy and energy savings, which is ultimately pushing down prices.

“As the lumen-per-dollar costs keep coming down for LED-based products, we will continue to see an increased adoption of these products in households as well as in industrial and commercial applications. A majority of the new projects and renovations that are being undertaken are exclusively adopting LED-based solutions, which are practical and cost-effective,” says Rishabh Sood, director, Operations, Alva Lighting.

MAJOR FACTORS DRIVING THE GROWTH

The major factors that are fueling the growth in this emerging sector are the booming real-estate market, investments in green buildings, mandatory energy-efficiency regulations for new buildings and facilities, government incentives for energy-efficient projects and the growing demand from health-care, hospitality, retail, IT and ITes, government-aided projects, industrial and corporate houses, LED streetlighting projects and the export market.